

Information Circular on the Taxation of Technology and Digital Services Companies

Circular No. NRS/IC/2026/04 • Issued 12 February 2026 • Applies to accounting periods commencing on or after 1 January 2026

1. Purpose

This Circular sets out the Service's position on the application of the consolidated tax legislation to companies engaged in software development, data processing, platform operation and related digital services. It is issued for guidance and does not extend or restrict the legislation.

2. Classification of Companies by Turnover

2.1 A company is a **small company** for an accounting period where, in that period, both of the following are satisfied -

- (a) gross turnover does not exceed NGN 100,000,000; and
- (b) total fixed assets do not exceed NGN 250,000,000.

2.2 Both conditions must be met simultaneously. A company that satisfies only one condition is a medium or large company as determined by turnover.

2.3 Where a company crosses either threshold at any point during an accounting period, it ceases to be a small company for the whole of that period, and no apportionment is available.

Table 1 - Classification and headline obligations

Classification	Gross turnover	Companies Income Tax	Development Levy	Capital Gains Tax
Small company	Up to NGN 100,000,000 and fixed assets up to NGN 250,000,000	0 per cent	Exempt	Exempt
Medium company	Above NGN 100,000,000 and up to NGN 5,000,000,000	25 per cent of taxable profit	4 per cent of assessable profit	30 per cent
Large company	Above NGN 5,000,000,000	30 per cent of taxable profit, subject to a minimum effective tax rate of 15 per cent	4 per cent of assessable profit	30 per cent

3. Excluded Activities

3.1 The small company relief in paragraph 2.1 is **not available** to a company whose principal activity consists of the provision of professional services, namely legal services, accounting and audit services, medical services, engineering consultancy, and management or advisory consulting.

3.2 The exclusion applies by reference to the nature of the activity and not to the size of the company.

3.3 Where a company derives revenue from both licensed software products and advisory engagements, the principal activity is determined by reference to the source of the greater part of gross turnover in the

accounting period. A company whose licensed or subscription software revenue exceeds 50 per cent of gross turnover is not treated as a professional services company for the purposes of paragraph 3.1.

3.4 Implementation, configuration and support services supplied as an ancillary part of a software licence are treated as part of the software supply and not as advisory consulting.

4. Value Added Tax

4.1 A company whose gross turnover in a calendar year does not exceed NGN 25,000,000 is not required to charge or remit VAT, but shall register and file nil returns.

4.2 The supply of software delivered electronically to a customer in Nigeria is a taxable supply irrespective of where the supplier is established.

4.3 Exported services, being services rendered to a person outside Nigeria for use outside Nigeria, are zero-rated. Where the beneficiary of the service is located in Nigeria, the service is not an exported service notwithstanding that the contracting party is foreign.

4.4 VAT returns are due not later than the 21st day of the month following the month of supply.

5. Withholding Tax at Source

5.1 A small company is not required to deduct tax at source where the transaction value is NGN 2,000,000 or less and the supplier has provided a valid Taxpayer Identification Number.

5.2 A company in the 0 per cent Companies Income Tax bracket from which tax has been withheld may apply for a refund or elect to carry the credit forward. An application for refund shall be made within 12 months of the end of the relevant accounting period and shall be supported by the withholding tax credit note.

5.3 Payments to a non-resident supplier of digital services consumed in Nigeria are subject to deduction at source at the rate applicable to the class of payment.

6. Registration and Filing

6.1 Every taxable person shall obtain a Taxpayer Identification Number. Registration is a precondition for the operation of a business bank account.

6.2 A company shall file its annual return not later than **six months** after the end of its accounting period, or eighteen months after incorporation in the case of a first return, whichever is later.

6.3 A company that is exempt from Companies Income Tax under paragraph 2.1 remains obliged to file an annual return, audited financial statements and a self-assessment showing a nil liability. Exemption from tax is not exemption from filing.

6.4 Failure to file within the period in paragraph 6.2 attracts a penalty of NGN 100,000 in the first month and NGN 50,000 for each subsequent month in which the failure continues.

7. Record Keeping

7.1 A company shall retain books of account, invoices, contracts and supporting records for a period of not less than **six years** from the end of the accounting period to which they relate.

7.2 Records may be retained in electronic form provided that they are reproducible in legible form and that the integrity of the record can be demonstrated.

7.3 Where records containing personal data are retained under this paragraph, retention is without prejudice to the obligations of the company under data protection legislation, and the company shall apply the minimum retention necessary to satisfy both requirements.

8. Personal Income Tax Bands

8.1 Tax on the chargeable income of an individual for a year of assessment is charged at the rates in Table 2. The consolidated relief allowance is abolished; rent relief of the lower of NGN 500,000 or 20 per cent of annual rent paid is available in its place.

Table 2 - Personal income tax bands

Band	Chargeable income (NGN)	Rate
1	First 800,000	0 per cent
2	Next 2,200,000	15 per cent
3	Next 9,000,000	18 per cent
4	Next 13,000,000	21 per cent

Band	Chargeable income (NGN)	Rate
5	Next 25,000,000	23 per cent
6	Above 50,000,000	25 per cent

8.2 An employer shall remit tax deducted from employee emoluments not later than the 10th day of the month following deduction.

9. Commencement and Transitional Provisions

9.1 This Circular applies to accounting periods commencing on or after 1 January 2026.

9.2 A company whose accounting period straddles 1 January 2026 shall apply the previous rules to the portion of the period falling before that date.

9.3 Prior circulars of the Service inconsistent with this Circular are withdrawn to the extent of the inconsistency.

Illustration. A company incorporated in 2024 with gross turnover of NGN 92,000,000 and fixed assets of NGN 310,000,000 in the year ended 31 December 2026 is not a small company, because the fixed asset condition in paragraph 2.1(b) is not satisfied. It is a medium company and is liable to Companies Income Tax at 25 per cent and to the Development Levy at 4 per cent of assessable profit.